

PRICING STRATEGIES AND SALES TOOLS

DAY 2



FUNDAMENTALS OF COSTING AND PRICING

LESSON FOUR

DEALING WITH EXPORT CUSTOMERS
QUOTING IN FOREIGN CURRENCIES
PROTECTING YOURSELF FROM FLUCTUATIONS
DIFFERENT PRICES FOR DIFFERENT MARKETS

LESSON FOUR:

DEALING WITH EXPORT CUSTOMERS

The export market can seem daunting to new entrants, but remember it is a market like any other, and your main priority is to ensure that you service your customers professionally and get the price you need to sustain your business.

It may be tempting to try and charge a higher price for export than for local customers; however, you must remember that the costs of getting your products into an international market are much higher than they would be domestically – these include things like freight, insurance, import duties and handling fees. Often you may need to charge even less than for local sales! Also, you are suddenly competing against the rest of the world – if you are not competitive price-wise, or so original and unique as to stand out, you are in for a tough time.

For this reason, our advice is to have a consistent level of pricing for local or export (whether it is wholesale, distributor or retail) and be sure to add on separately any additional export-related charges such as document preparation, export certificates, freight etc.

You might also consider higher minimum quantities per style and a higher minimum order value for export. This ensures that it is worth your while to process an export order, which can involve a fair bit of paperwork, risk and time.

QUOTING IN FOREIGN CURRENCIES

When doing an international trade show, or even sometimes when negotiating with a foreign buyer who is interested in your products/services, you may be expected to prepare a pricelist or quote in dollars, Euros or pounds.

This is an area that can cause a lot of uncertainty and stress given the volatility of the Rand and the potential to make some very expensive mistakes. Remember, you are not in the business of currency speculation or gambling. If a certain customer insists on you quoting in dollars or Euros, make sure you build in more than enough FAT to cover any fluctuations.

The same applies if you are developing pricelists for an international trade show. Always cover yourself, and always state the conversion rate used to arrive at an international currency figure.



PROTECTING YOURSELF FROM FLUCTUATIONS

The most effective means of avoiding the dangers of forex fluctuation is to simply insist on always quoting in Rands, however this is not always possible and sometimes you will have to quote in a foreign currency.

An effective way of managing risk is to build in some 'fat' so that should exchange rates go up or down, you remain relatively well protected. As an example:

Current Spot Exchange Rate R/US\$ = R19

Therefore, if you charge R100 in Rands for a product wholesale, you would ask \$5.26

($R100 \div 19$) in order to get your R100 for the item.

However, this conversion leaves you no room at all for fluctuation – if the Rand suddenly strengthened to R17.00 to the dollar (unlikely yes), look at what would happen:

$\$5.26 \times R17.00 = R89.42$ – meaning you get R10.58 less per product than you wanted.

Now imagine that this happened on an order of 1000 items:

$R10.58 \times 1000 =$ a loss of R10580.00!!!

If you had used a more favourable rate for yourself up front, and thus asked for slightly more dollars wholesale per piece, you could have avoided this situation:

E.g. $R100 \div R17.50 = \$5.71$ (and maybe round off if needed)

Remember to always state the rate of exchange used (some people even have a separate column in their pricelists to indicate this), and also to be careful of pricing yourself out of the market by being too conservative and building in too much fat.

Also, remember to always include in your sales terms & conditions that any prices quoted in forex are only guaranteed for a limited period (usually 3 months), and that your company reserves the right to amend the pricing based on excessive forex fluctuations. You can also consider Forward Cover as an additional measure.

DIFFERENT PRICES FOR DIFFERENT MARKETS

Some people believe that they should have different prices for different markets, such as local pricing vs. export pricing. They may even take it a step further and have different prices for different regions e.g. EU prices, Scandinavian prices etc.

Our opinion is that this is a dangerous and frequently counter-productive strategy. Unless you are a truly global business with the capacity and expertise to handle multiple different pricing strategies and account for geographical and regional quirks and preferences, you may well end up getting into hot water by trying to carve up your pricing strategy into little bits.

Not only that, but it can also get confusing & administratively burdensome. Your priority as an entrepreneur is to ensure that:

1. You get the price you need for the item and
2. Your product arrives in the chosen market at a price that is competitive, fair to all parties and as consistent as possible, so that it can sell.